

State of the States 2026

US Fitness Policy Update
& Compliance Guide

As the US health and fitness sector continues to grow, diversify, and evolve, so too does the policy environment that shapes how gyms, health clubs, studios, and other fitness businesses operate.

In 2025, state lawmakers across the country examined more than 160 bills that directly affected fitness facilities, from membership contract terms and auto-renewal rules to taxes, liability, sanitation, data privacy, and staffing requirements. These policies have real operational and financial implications, especially for an industry with tens of thousands of small and midsize businesses.

It is for this reason that the Health & Fitness Association (HFA) developed the State of the States report: a definitive, state-by-state guide to the US fitness industry's legislative and regulatory landscape. The report provides a comprehensive year-in-review of state legislative and regulatory activity in 2025, highlighting key trends shaping the operating environment for fitness businesses. It equips industry stakeholders with a clear and practical resource to better understand regulatory requirements, identify emerging risks, and engage proactively with lawmakers. By consolidating these insights into a single report, we offer a clearer view of how all 50 states and the District of Columbia approach critical policy issues, and what those differences mean for competition, growth opportunities, and market conditions nationwide.

This report also reflects the scope and impact of HFA's advocacy throughout 2025. Over the past year, we delivered more than 50 policy victories at the state level, along with several favorable outcomes in Washington, DC. These achievements are not simply a return on investment. Rather, they function as an insurance policy for every US fitness business. By preventing harmful legislation and advancing common-sense regulations, we help protect and strengthen the industry, while ensuring that the structured exercise environments nearly 80 million Americans rely on remain accessible, affordable, and available in their communities.

In 2025, policymakers intensified their focus on auto-renewal policies, membership cancellation practices, biometric data rules, and pricing transparency. Thanks to the engagement and support of our members, HFA was able to deliver a unified industry message to legislators on both sides of the aisle and push back against proposals that would have created unnecessary costs or compliance challenges for fitness facilities. At the same time, we championed policies that strengthen long-term industry stability, such as tax incentives that promote physical activity, fair and consistent commercial regulations, and greater recognition of fitness facilities as essential components of public health infrastructure.

In 2026, HFA will continue to pay close attention to the myriad of issues impacting your businesses and we look forward to continuing working with you all to promote, protect, and grow the US health and fitness sector.

Sincerely,



Liz Clark
President & CEO
Health & Fitness Association



Mike Goscinski
Chief of Staff
Health & Fitness Association



Table of Contents

About This Report	4	Minnesota.....	47
Statutory and Regulatory Framework.....	5	Mississippi	49
State Processes	5	Missouri.....	50
About the HFA.....	5	Montana.....	51
About Stateside Associates.....	5	Nebraska.....	52
Executive Summary	6 - 12	Nevada.....	53
Federal Policy Trends.....	7	New Hampshire	54
State Policy Trends	9	New Jersey.....	55
Elections.....	10	New Mexico	57
2025 State Legislative Activity Overview.....	11	New York	58
State Profiles	13 - 86	North Carolina	61
Alabama.....	14	North Dakota.....	63
Alaska	16	Ohio.....	64
Arizona	17	Oklahoma	65
Arkansas.....	19	Oregon	66
California.....	20	Pennsylvania	67
Colorado.....	22	Rhode Island.....	70
Connecticut.....	23	South Carolina.....	72
Delaware	25	South Dakota.....	73
District of Columbia	26	Tennessee.....	74
Florida	27	Texas	76
Georgia.....	28	Utah	78
Hawaii	30	Vermont.....	79
Idaho	31	Virginia.....	80
Illinois	32	Washington.....	82
Indiana	34	West Virginia.....	83
Iowa.....	35	Wisconsin	85
Kansas.....	36	Wyoming.....	86
Kentucky	37	State By State Compliance Guide	87 - 172
Louisiana	38	Tax, Employment and Franchise Requirements.....	88
Maine	39	Consumer Protection.....	105
Maryland	41	Biometrics, Geolocation and Facility Requirements.....	156
Massachusetts.....	43	Connect With HFA	173
Michigan.....	45		

About This Report

The State of the States report provides a comprehensive, annual overview of the legislative and regulatory landscape shaping the operations of health and fitness facilities across all 50 states and the District of Columbia.

It is designed to help operators, policymakers, and industry stakeholders better understand the regulatory environment, market conditions, and key policy developments that affect fitness businesses nationwide. These insights allow the sector to track year-over-year changes, anticipate emerging policy risks, support advocacy campaigns, and ensure compliance with state-level requirements.

The report is structured in two complementary parts. The first half offers a year-in-review analysis of state legislative and regulatory developments, highlighting enacted laws, significant proposals, and emerging policy trends affecting fitness facilities. Detailed state profiles outline legislative structures, key developments from 2025, and forward-looking outlooks where available, helping readers understand how policy environments differ across jurisdictions.

The second half of the report functions as a compliance reference tool. Comparative tables provide a standardized, cross-state summary of major operator requirements, allowing readers to quickly identify areas of alignment or difference across states. Together, these tables consolidate complex statutory and regulatory obligations into an accessible format designed to support rapid compliance checks, multi-state planning, and internal risk assessment.

State of the States focuses exclusively on policy areas that materially affect the operations, costs, compliance obligations, or consumer-facing requirements of commercial fitness facilities. These include gyms, studios, health clubs, and fitness centers of all types and sizes. The report does not cover policies governing unrelated recreation or wellness businesses, such as standalone spas or martial arts schools, unless they directly intersect with fitness facility operations.

Research for this report is based on publicly available state legislative, regulatory, and rulemaking sources. The Health & Fitness Association partnered with Stateside Associates, a state government affairs firm with more than 30 years of experience, to conduct a comprehensive review of statutes, regulations, legislative activity, and rulemaking, supplemented by HFA's internal policy tracking.

Statutory and Regulatory Framework

Most states enacted their health club regulatory codes, sometimes named "health spa," "health studio," "fitness facility," or "fitness center" codes, during the 1980s and 1990s, with few changes since then. These codes are typically found in statutes, but Delaware, the District of Columbia, Ohio, Tennessee, and West Virginia have promulgated their requirements as state regulations.

Health club codes typically include provisions concerning contract cancellations and refunds, bonding and escrow requirements, and price transparency. Health club codes rarely contain provisions for automatic renewal, click-to-cancel, or free trial restrictions, which typically fall under general consumer protection laws. Health

club codes also rarely address health and safety, accessibility requirements, data privacy, and tax issues. Those issues, when addressed, are found in codes that apply to businesses generally.

In addition to meeting state statutes and regulations, health clubs must adhere to local (county and/or municipal) ordinances and receive approval from local authorities prior to constructing or operating a health club. Local jurisdictions often have their own specific requirements, even for issues for which the state has already enacted or promulgated its own provisions. Developments related to local ordinances all outside the scope of this report.

State Processes

Understanding state policymaking processes is essential for interpreting the activity summarized in this report. While many actions, like passing a bill or state budget, only require a simple majority, meaning more than half of the votes cast, some actions, such as amending the state constitution or overriding a governor's veto, require a larger percentage of votes (often two-thirds) called a supermajority. If a party holds a supermajority in both chambers, it theoretically becomes easier to push the party's agenda.

To speed up the legislative process, most states allow legislators to introduce companion bills in both legislative chambers. Companion bills contain identical or very similar language. Some states, such

as New Jersey and New York, allow bills to be substituted for their companions if the bill has already undergone its committee process in the chamber of origin. States also introduce companion budget bills to expedite the budget process.

While many bills did not cross the finish line during the 2025 legislative session, these bills still have a chance to advance in 2026. In several states, bills are eligible for "carryover" from odd numbered years to even numbered years, meaning they can be considered in 2026 without needing to start from the very beginning of the legislative process.

About the Health & Fitness Association

The Health & Fitness Association (formerly IHRSA), a global community of industry leaders, is the only worldwide trade association providing a unified voice for the community of leaders who operate health and fitness facilities, offer professional guidance on physical activity, and provide the tools and equipment to do so to the millions of fitness facility members who understand that exercise improves their physical and mental health.

Through advocacy, education, and research, the association speaks to opportunities, challenges, and changes that are moving the industry into a new era.

Founded in 1981, the association publishes a monthly magazine, *Health & Fitness Business*, and operates The HFA Show, the HFA European Congress, and the Fly-In and Advocacy Summit. The association also partners on events around the world, including Fitness Brasil, ChinaFit, MEFIT Summit and Wellness & Fitness LATAM. Follow the Health & Fitness Association on Facebook, Instagram, LinkedIn, X and YouTube.

healthandfitness.org

About Stateside Associates

Stateside brings unparalleled expertise and a proven track record to state and local government affairs initiatives. With over 30 years of experience, they offer a comprehensive suite of services across all 50 states, the District of Columbia, and globally.

Their team, comprised of former legislative staff, regulatory attorneys, and seasoned issue managers, leverages deep bipartisan relationships to deliver results for corporations, associations, and government entities.

Stateside helps clients strategically shape state and local policy outcomes. They provide accurate, relevant legislative and regulatory movement updates to inform engagement strategies. Their research expertise and ability to compile meaningful insightful reporting, provide needed bandwidth expansion to government affairs teams.

Stateside's deep understanding of the policy landscape, combined with our extensive network, deliver impactful results to ensure success.

stateside.com

Executive Summary

Federal Policy Trends

In 2025, federal policymakers advanced a wide range of legislative, regulatory, and administrative actions affecting physical activity, preventive health, and the operating environment for US fitness businesses. Throughout the year, HFA monitored and engaged with both the executive and legislative branches, providing industry perspective as proposals moved through Congress, federal agencies, and the courts.

Federal engagement on fitness and physical activity increased in 2025, shaped by administration priorities alongside notable regulatory, legislative, and standards-setting developments. As the second Trump Administration took office, Robert F. Kennedy Jr. was confirmed as secretary of health and human services (HHS) and Dr. Mehmet Oz as administrator of the Centers for Medicare & Medicaid Services (CMS). The Administration advanced a Make America Healthy Again (MAHA) agenda emphasizing chronic disease prevention, lifestyle-based interventions, and a reassessment of how federal health policy addresses physical activity. Early discussions also signaled potential restructuring of federal health functions under a future Administration for a Healthy America agency to better align prevention, public health, and care delivery.

Within this broader context, the president announced the reconstitution of the President's Council on Sports, Fitness, & Nutrition and directed the return of the Presidential Fitness Test, elevating youth fitness, physical activity, and nutrition as visible national policy priorities.

Regulatory activity in 2025 had direct implications for fitness businesses and consumer-facing service models. The Federal Trade Commission (FTC) finalized its "negative option" rule, which would have significantly altered federal requirements governing subscription services and cancellation practices across the economy. The rule was scheduled to take effect mid-year but was vacated by the

US Court of Appeals for the Eighth Circuit on procedural grounds, preventing implementation. Separately, the FTC finalized its "junk fees" rule, narrowing its scope to live-event ticketing and short-term lodging and explicitly excluding fitness memberships from coverage in the final regulation.

In healthcare policy, CMS released its annual Physician Fee Schedule directing Medicare, for the first time, to cover a standardized assessment of physical activity as part of preventive care. This action marked a meaningful step toward treating physical activity as a routine clinical risk factor within federal health coverage policy. In parallel, national health data standards advanced with the publication of physical activity measures within Health Level Seven International (HL7), laying groundwork for more consistent documentation and interoperability of physical activity data across electronic health records and related health systems.

Trade and tariff policy also emerged as a significant federal issue intersecting with the fitness sector. The Administration expanded the scope of Section 232 steel and aluminum tariffs, increasing duty rates and adding hundreds of additional product categories to the tariff list. This expansion included certain fitness equipment categories, introducing higher input costs and supply-chain pressures for manufacturers, importers, and operators, and highlighting the tension between trade policy objectives and broader public health goals centered on access to physical activity infrastructure.

On the legislative front, Congress advanced and enacted the "One Big Beautiful Bill," a comprehensive tax package with implications for both consumers and fitness businesses. The House-passed version initially included language to expand Health Savings Accounts (HSA) to cover certain physical activity expenses, reflecting long-standing policy

Federal Policy Trends (cont.)

proposals tied to preventive health. Those provisions were ultimately removed in the Senate alongside other HSA changes. While the final law did not expand consumer eligibility for fitness expenses, it delivered several business-focused tax provisions aimed at investment stability and growth, including the restoration of full and immediate expensing for equipment and machinery, expanded interest deductibility, and continued incentives for capital investment. Collectively, these provisions were intended to reduce the cost of expansion, support facility development and modernization, and provide greater tax certainty for capital-intensive businesses such as fitness operators.

Beyond OBBB, Congress saw the introduction of multiple bills related to physical activity and the operating environment for fitness businesses. These included bipartisan legislation in both chambers to formalize the regular publication of federal physical activity guidelines, the introduction of the Make America's Youth Healthy Again Act focused on improving youth health outcomes, and the American Franchise Act in both the House and Senate, reflecting continued congressional interest in franchise policy affecting many fitness operators.



State Policy Trends

In 2025, state legislatures introduced more than 160 bills of interest to the US health and fitness sector, with 21 signed into law. Throughout the legislative session, HFA engaged with bill sponsors and key stakeholders on beneficial and unfavorable proposals, securing amendments to definitions and obtaining exemptions in alignment with the strategic interests of fitness facility operators.

The largest volume of legislative activity occurred in the areas of advertising and transparency, as states increased efforts to strengthen consumer protection this session. Colorado, Illinois, Maryland, Rhode Island, Utah, and Virginia were among the states that enacted new laws in this area. While many states have long-standing statutes prohibiting unfair or deceptive business practices, few explicitly address total pricing. However, some states—including Arkansas, Illinois, Iowa, Massachusetts, New Jersey, Oregon, Rhode Island, and Texas—have requirements specific to the total prices of services disclosed by gyms. In March, Massachusetts finalized new regulations that require businesses generally to disclose the total price of a product at the time it is presented to consumers, provide clear and accessible information on whether fees are required or optional, and simplify the process for cancelling trial offers and recurring charges.

Another policy area that has seen a large amount of recent activity is click-to-cancel legislation. Through these bills, lawmakers aim to make canceling subscriptions, including those for fitness memberships, simple and straightforward for consumers – often through requiring a direct cancellation mechanism such as a button on the merchant's website. Legislation has also focused on requiring merchants who employ automatically recurring subscriptions, or auto-renewals, to clearly disclose the terms of such subscriptions to consumers. Bills have also stipulated that merchants receive express consent from consumers before charging auto-renewal fees. With the Federal Trade Commission's "Click-to-Cancel" rule – originally set to take effect in mid-2025 – facing major

obstacles in the courts, states are expected to continue attempting to address this area on their own.

Legislators also focused heavily on consumer protection through efforts to regulate biometric data. Despite the large volume of bills introduced on the issue, most failed to advance in the legislative process in 2025. With several states allowing bills to carry over into 2026, lawmakers are expected to continue to work on biometric legislation next year. Overall, biometric data laws are slowly being adopted by the states in the absence of federal law. Several states already have comprehensive laws that regulate the collection of biometric identifiers, generally requiring companies to obtain either opt-in or opt-out consent before collecting such data from consumers. Most of these laws were enacted within the last five years, with the exceptions of Illinois and Texas, which adopted earlier statutes. More states are expected to enact their own laws or make expansions to their consumer protection laws to include the collection of biometric data in the coming years.

Cold spas are considered to be a newer type of pool, and states generally have not taken steps to regulate them. Unless a state's pool rules and codes distinctly do not include cold water in the definition of spa, cold spas are generally subject to rules governing pools. Many of these rules and codes have not been updated in several years with some dating back to the late 1900s and early 2000s. Some states readopt rules as they are, without change, if the rules have an expiration date. Indiana is one example as the state is currently readopting its pool rules with no changes. In many cases, cold spas are currently regulated at the county level and are subject to local approvals. However, there may be a shift in the coming years toward the promulgation of regulations at the state-level as several states, including Colorado, Massachusetts, New Jersey, and Utah, have indicated that they are looking at including provisions specific to cold spas in their pool rules in the future.

Elections

Two significant state-level elections took place in November 2025, offering insight into potential priority areas for these states heading into 2026. This off-year election brought major wins for Democrats in both New Jersey and Virginia. Democrats held on to the governor's seat in New Jersey and slightly increased their majority in the state assembly. In Virginia, they flipped the offices of governor, lieutenant governor, and attorney general, and gained 13 seats in the House of Delegates. With both states holding a democratic trifecta, consumer protection legislation and proposals to address affordability and cost of living issues are likely to take center stage.

New Jersey Governor-elect Mikie Sherrill was first elected to Congress in 2018 where she represented New Jersey's 11th District. Sherrill wants to improve government efficiency and minimize burdens on entrepreneurs by reducing the amount of time it takes to approve a business or professional license. Throughout her campaign, Sherrill named the increasing cost of living as one of her top priorities, promising to go after bad actors across various industries that drive up prices. While she is unlikely to go after fitness facilities directly, her proposed policy actions in the consumer protections space could indirectly impact fitness facilities.

Virginia Governor-elect Abigail Spanberger was elected to Congress in 2018, where she served three terms representing Virginia's competitive 7th district. During her campaign, she pledged to remove regulatory burdens for small businesses and grow the state's workforce training and apprenticeship programs. She also supports labor reform that includes a \$15 minimum wage and establishing a paid family and medical leave program. And, she has a brand new, strong Democratic majority in the General Assembly to push this agenda.



2025 State Legislative Activity Overview

✓ = Bill Passed | ✗ = Bill Defeated

State	Click-to-Cancel and Auto-Renewal Restrictions	Fitness-Related Tax Policy	Treatment of Independent Contractors	Geolocation & Biometric Data Collection Restrictions	Consumer Protection and Membership Practices
AL			✓	✗	
AK					ACTIVE
AZ	✗				✗
AR	✓			✗	
CA				ACTIVE/✗	✓
CO	✓				
CT	✓+✗	✗			✗
DE					
DC					
FL			✗		
GA	ACTIVE		ACTIVE		
HI			ACTIVE		
ID					
IL				ACTIVE	✓ / ACTIVE
IN					
IA					
KS					
KY			✗		
LA					
ME	✓				
MD	✓		✗		
MA	ACTIVE		ACTIVE	ACTIVE	ACTIVE
MI	ACTIVE		ACTIVE	ACTIVE	ACTIVE
MN				ACTIVE	✓
MS	✗	✗			
MO	✗				
MT				✗	
NE				ACTIVE	
NV					
NH					
NJ	✗		✗		✗
NM					
NY	ACTIVE	ACTIVE	ACTIVE	ACTIVE/✗	ACTIVE
NC	ACTIVE				
ND					
OH		ACTIVE			
OK	✗				
OR					
PA	ACTIVE	ACTIVE	ACTIVE	ACTIVE	ACTIVE
RI			✗	✗	✗
SC					ACTIVE
SD					
TN	ACTIVE		✓		
TX	✗	✓			✗
UT					✓
VT				ACTIVE	
VA		✗		✗	
WA		ACTIVE			
WV	✗		✗	✗	
WI					
WY					
✓	5	1	2	0	4
✗	8	3	6	8	5
ACTIVE	7	4	6	9	7
TOTAL	19	8	14	15	15

2025 State Legislative Activity Overview

✓ = Bill Passed | ✗ = Bill Defeated

State	Advertising & Transparency Requirements	Personnel & Accessibility Requirements	Health and Sanitation Requirements	Liability Waivers	Policy Areas Addressed
AL		✗			3
AK					1
AZ	✗				3
AR					2
CA					2
CO	✓				2
CT	✓				4
DE		ACTIVE			1
DC					0
FL					1
GA					2
HI					1
ID					0
IL		ACTIVE	✓		4
IN	✗				1
IA			ACTIVE		1
KS		ACTIVE			1
KY		✗			2
LA					0
ME	✓	ACTIVE			3
MD	✗	✗			4
MA	✓		ACTIVE		6
MI	ACTIVE		ACTIVE		6
MN					2
MS					2
MO					1
MT	✗				2
NE					1
NV					0
NH	✗				1
NJ				✗	4
NM					0
NY	ACTIVE				6
NC	ACTIVE		ACTIVE		3
ND					0
OH			ACTIVE		2
OK	ACTIVE				2
OR	✓			✗	2
PA		ACTIVE			6
RI	✓	✓			5
SC		ACTIVE			2
SD					0
TN	ACTIVE				3
TX			✗		4
UT					1
VT					1
VA	✓				3
WA					1
WV		✗			4
WI					0
WY					0
✓	7	1	1	0	
✗	5	4	2	2	
ACTIVE	5	6	5	0	
TOTAL	17	11	7	2	



State Profiles

Alabama



Fitness Facility Members
1.1 Million

Legislature Overview

- Each regular legislative session convenes annually and lasts no longer than 30 legislative days during a 105-calendar-day period.
- The 2025 session began February 4 and adjourned May 15.
- Legislation does not carry over.

Governor: Republican | **House Control:** Republican Supermajority | **Senate Control:** Republican Supermajority

2025 Policy Review

Treatment of Independent Contractors

In April, Governor Kay Ivey (R) signed **SB 86** allowing independent contractors in the state to open benefit accounts administered by various providers, including banks, investment management firms, and technology providers. The bill sailed through the legislative process with no legislator in either chamber voting against it, and took effect on December 31, 2025. The law allows businesses to contribute to the benefit accounts of their independent contractors. It also creates opportunities to ease contractors' administrative burdens by allowing businesses to withhold a percentage of their paycheck for contribution to the account.

Businesses can deduct contributions to these accounts as expenses on their income tax returns. Importantly, this law is not mandatory but is rather a voluntary system to give businesses flexibility to support their trainers, instructors, and other team members hired as independent contractors. It is also the first example of a portable benefits law that offers a fully tax-advantaged version, treating contributions as both 100 percent tax-deductible for businesses and excluded from contractors' gross income, making the contractor model more sustainable.

Geolocation & Biometric Data Collection Restrictions

Introduced in March, **HB 436** aimed to put restrictions in place on businesses that collect biological and physiological data including a customer's fingerprints, heart rate, and blood pressure readings. It banned transferring this type of data to a third party without the customer's consent. It would have prevented businesses from marketing to consumers based on their biometric data.

The bill did not advance during the 2025 session and died upon the legislature's adjournment. With the fitness industry increasingly incorporating biometric and physiological tracking to enhance training, improve safety, and personalize member experiences, HB 436 could have led to new compliance costs and limits on how the industry leverages data to deliver value.

Personnel & Accessibility Requirements

Introduced in February, **HB 20** sought to prohibit employers from discriminating against employees or applicants for an open position at your facility based on their weight or body size. The bill would have given employees and any applicants a "cause of action" in court: Meaning, they could have sued employers, and the court could not have dismissed the suit out of hand.

The bill did not advance during the 2025 session. While most operators already emphasize inclusive hiring and workplace practices, the bill's broad language could have created uncertainty and litigation risk. Its defeat in 2025 means operators continue under existing federal and state nondiscrimination laws, without new weight-based mandates.

2026 Outlook

At the time of writing, no prefiled legislation has been identified that would directly impact the health and fitness industry.

Alaska



Fitness Facility Members
220,000

Legislature Overview

- For the better part of the last decade, the Alaska Legislature has been ruled by multi-party coalitions. The issues lawmakers tackle here are more region-based, often leading to more bipartisanship in Alaska than in other states.
- The 2025 session began January 21 and adjourned May 20.
- Bills pending at the end of session during an odd-numbered year may be carried over to the following session in a subsequent even-numbered year.

Governor: Republican | **House Control:** Bipartisan coalition of Democrats, Independents, and Republicans
Senate Control: Bipartisan coalition of Democrats, Independents, and Republicans

2025 Policy Review

Consumer Protection and Membership Practices

Introduced in January, **HB 20** would ban businesses from charging an additional fee or imposing a different rate on a customer who chooses to receive paper documentation, including invoices and notices. The bill currently sits in the House Committee on Judiciary and is eligible for consideration when the legislature reconvenes in 2026.

If enacted, HB 20 would require clubs to accommodate paper documentation requests without passing on the extra expense, potentially raising administrative costs and creating new compliance requirements.

2026 Outlook

In addition to active bills that are eligible for carryover from the 2025 session, no prefiled legislation has been identified at the time of writing that would further impact the health and fitness industry.

Arizona



Fitness Facility Members
1.8 Million

Legislature Overview

- The 2025 legislative session convened on January 13 and adjourned on June 27.
- A session may be extended for seven days but would require a simple majority vote in both chambers.
- During the committee process, committees can offer a “strike-all” amendment, which is a procedural tool that allows lawmakers to delete all of the existing language of a bill and replace it with entirely new language which can be substantially different from the original text.
- Legislation does not carry over.

Governor: Democratic | **House Control:** Republican | **Senate Control:** Republican

2025 Policy Review

Click-to-Cancel and Auto-Renewal Restrictions

Introduced in February, **HB 2799** would have required health and fitness clubs to let a member cancel an online subscription by the same method used to enroll in the subscription. The bill would also require renewal reminders to be sent to members and give them the ability to opt out of automatic renewal.

Following industry efforts, the proposal did not advance during the 2025 session. While operators already follow existing federal and state rules on contract terms and consumer disclosures, the bill's additional requirements would have introduced new administrative burdens and compliance costs.

Advertising and Transparency

In 2025, there were two bills introduced relating to total price. The bills, **HB 2940** and **SB 1167**, would have required a club to include all mandatory fees in its advertised prices. It also would have required clubs to describe any refund policy on receipts.

The bills did not advance during the 2025 session. Its defeat means clubs retain flexibility in how they present pricing and structure receipts, without new state-mandated formatting or disclosure requirements.

Consumer Protection and Membership Practices

HB 2924, introduced in 2025, sought to expand the state's consumer fraud laws by defining a wide range of additional unfair or deceptive practices. Among its provisions, the bill would have prohibited clubs from advertising free services or classes without clearly disclosing all conditions and prerequisites. It also would

have barred operators from offering rebates, discounts, or other benefits that were contingent on future events, language that could have limited common promotional practices across the industry. The bill never received a committee vote, signaling limited support or consensus among lawmakers.

2026 Outlook

At the time of writing, no prefiled legislation has been identified that would directly impact the health and fitness industry.

Arkansas



Fitness Facility Members
570,000

Legislature Overview

- The 2025 session began January 13 and adjourned May 5.
- The legislature has two types of sessions, regular and fiscal. Regular sessions, reserved for policy legislation, are held in odd-numbered years and cannot exceed 60 calendar days unless extended by a two-thirds vote. Fiscal sessions, reserved for budget approval and state agency appropriations, are held in even-numbered years and cannot exceed 30 calendar days, unless three-fourths of members vote to extend the session for a maximum of 15 days.
- Legislation does not carry over.

Governor: Republican | **House Control:** Republican Supermajority | **Senate Control:** Republican Supermajority

2025 Policy Review

Click-to-Cancel and Auto-Renewal Restrictions

In April, Governor Sarah Huckabee Sanders (R) signed **HB 1820** into law. The law strengthens requirements for automatic renewal and online cancellation, requiring health and fitness clubs to clearly disclose renewal terms, obtain customer consent before

charging, send reminders before trial periods or annual renewals, and provide straightforward cancellation options, including a one-click online mechanism. The law took effect on August 3.

Geolocation & Biometric Data Collection Restrictions

In 2025, Arkansas lawmakers considered **AB 258**, which would have required businesses to obtain customer consent before collecting biometric data such as fingerprints, voiceprints, or other unique biological identifiers used to confirm identity. The bill failed to pass a Senate vote and is no longer actionable.

For fitness facilities, many of which are adopting biometric tools for member check-in, personalized training, and security, the measure could have introduced new compliance obligations and operational costs.

2026 Outlook

At the time of writing, no prefiled legislation has been identified that would directly impact the health and fitness industry.

California



Fitness Facility Members
10.4 Million

Legislature Overview

- The California Legislature convenes the first Monday of December of any even-numbered year and adjourns November 30 of the following even-numbered year.
- California will frequently introduce 'spot bills'. These bills act as placeholders and will likely be amended later in session to contain the author's true intent.
- The legislature goes into recess multiple times throughout session and may hold interim studies on certain measures.
- Bills left pending at the end of a session in an odd-numbered year may be carried over to the following session in subsequent even-numbered years.

Governor: Democratic | **House Control:** Democratic Supermajority | **Senate Control:** Democratic Supermajority

2025 Policy Review

Consumer Protection and Membership Practices

In October, Governor Gavin Newsom (D) signed AB 483, a measure regulating early termination fees in fixed-term installment contracts. The law prohibits businesses from charging early termination fees unless the contract clearly discloses the total cost of those fees, and it caps such fees at no more than 30% of the total contract value.

While the bill was not drafted specifically for fitness facilities, it could apply to clubs that utilize fixed-term installment agreements. The law takes effect on August 1, 2026.

Biometric Data Collection Restrictions

In March, Assemblymember Carl DeMaio (R) introduced **AB 364** which would require certain businesses to disclose when they maintain a customer's personal information outside of the United States. The bill applies to companies with at least \$25 million in annual revenue or those that buy, share, or sell personal information for 100,000 or more customers or households. Personal information is broadly defined and includes biometric data such as fingerprints, health metrics, and exercise information.

Under the proposal, businesses maintaining customer data abroad would be required to inform customers and obtain their consent before continuing to store that information in a foreign country. The bill is currently awaiting a hearing in the Assembly Privacy and Consumer Protection Committee.

Geolocation Data Collection Restrictions

In February, Assemblymember Christopher Ward (D) introduced **AB 1355**, that would restrict how businesses collect and process individuals' location information. The bill would prohibit businesses from gathering or using location data beyond what is necessary to deliver a service and would require clear disclosure to customers when location information is collected, including how that data is used and protected. Additionally, businesses would be prohibited from selling location information to third parties.

AB 1355 advanced through the Assembly Privacy and Consumer Protection Committee with a 9–3 vote and later passed the Assembly Judiciary Committee by a vote of 7–3.

AB **1331** was introduced in February 2025 and would prohibit a business from monitoring or surveilling workers in off-duty areas such as break rooms and cafeterias. All surveillance tools must be disabled during off-duty hours, including rest and break periods. This bill passed the Assembly in June by a 55-15 vote. It passed through its first committee in the Senate, but was ordered to the Inactive File in September, effectively defeating the bill. It remains eligible for consideration in 2026

2026 Outlook

In addition to active bills that are eligible for carryover from the 2025 session, no prefiled legislation has been identified at the time of writing that would further impact the health and fitness industry.

Colorado



Fitness Facility Members
1.5 Million

Legislature Overview

- The 2025 session began January 8 and adjourned May 7.
- Legislators cannot introduce more than five bills per session, excluding appropriations and interim bills, resulting in low bill volume for Colorado.
- There is a strict bill introduction deadline; bills may only be introduced after the deadline if the member gets a delayed bill request signed by the House or Senate Committee on Delayed Bills.
- Legislation does not carry over.

Governor: Democratic | House Control: Democratic | Senate Control: Democratic

2025 Policy Review

Click-to-Cancel and Auto-Renewal Restrictions

In April, Governor Jared Polis (D) signed **SB 145** that requires health and fitness clubs to provide easy online cancellation options, including a one-click option or in-person cancellation for automatic renewal subscriptions or trial period offers. During the legislative process, lawmakers adopted amendments allowing clubs to display discounted offers, retention benefits,

or information about the effect of cancellation, provided a direct cancellation hyperlink remains clearly visible. The final version preserved the ability for clubs to display retention offers, striking a balance between consumer protections and operational flexibility. The law takes effect February 16, 2026.

Advertising and Transparency

Governor Polis also signed **HB 1090** in an effort to crack down on so-called “junk fees.” The bill requires businesses to show the full cost of services as one total price, meaning clubs must advertise prices that include mandatory fees or non-discretionary fees. It also specifies that pricing information must be immediately noticeable and easy for customers to understand.

The fitness industry worked with lawmakers to clarify how “total price” would be defined and applied, ensuring compliance expectations were clear and workable for clubs. As a result, operators will be able to adjust marketing and billing practices with greater certainty, while aligning with broader state consumer-protection goals. The law takes effect January 1, 2026.

2026 Outlook

At the time of writing, no prefiled legislation has been identified that would directly impact the health and fitness industry.

Connecticut



Fitness Facility Members
860,000

Legislature Overview

- In even-numbered years, only committees may introduce bills unrelated to budget matters. If a legislator wishes to have a non-budget bill raised, they must petition the committee to raise the concept as a committee bill.
- The 2025 session began January 8 and adjourned June 4.
- Legislation does not carry over.

Governor: Democratic | **House Control:** Democratic Supermajority | **Senate Control:** Democratic Supermajority

2025 Policy Review

Fitness-Related Tax Policy

Introduced in January, **HB 5079** would have exempted health and athletic club services and fees from the sales and use tax. Industry advocates successfully elevated the issue and secured the bill's introduction, putting the tax treatment of fitness memberships squarely on the legislative agenda. Although the measure did not

advance before the legislature adjourned in June, it establishes a foundation for continued advocacy in future sessions to secure tax relief for fitness facilities and their members.

Click-to-Cancel and Auto-Renewal Restrictions

Connecticut lawmakers considered multiple proposals in 2025 related to automatic renewal practices and membership cancellation requirements. The most impactful of these, **SB 1357**, was signed into law by Governor Ned Lamont (D) in June. The new law requires health clubs to issue written confirmation of a member's cancellation within 10 business days of receiving written notice, prominently display information about the Connecticut Health Club Guaranty Fund at the top of contracts and allow customers to void a contract if facilities or amenities are

no longer substantially available. Industry engagement played an important role in shaping the final legislation, securing a 10-business-day confirmation window was a key improvement that aligns consumer protection goals with operational feasibility. The law took effect July 1, 2025.

Lawmakers introduced several additional click-to-cancel and auto-renewal proposals that did not advance. Governor Lamont authored **SB 1248**, which would have required businesses to

provide total up-front pricing, send annual renewal reminders, and allow customers to cancel subscriptions using the same method used to enroll. As drafted, the bill could have disrupted common membership models by requiring repeated manual renewals, and it ultimately died upon adjournment.

Two other measures introduced in January—**HB 5559** and **SB 156**—proposed similar requirements. HB 5559 would have required clubs to offer cancellation via the same channel used for sign-

up (online, phone, etc.), while SB 156 would have mandated that cancellations be processed within 10 business days. Both bills failed to advance, preventing the imposition of new operational mandates beyond those already addressed by existing state law and the newly enacted SB 1357.

Consumer Protection and Membership Practices

The Connecticut General Law Committee sponsored **HB 5744**, a proposal that would have prohibited businesses from requiring customers to store credit or debit card information when entering into a contract or enrolling in an automatically renewing service. During the committee hearing, numerous organizations and business owners raised concerns, noting that recurring payments support operational efficiency, reduce administrative burden,

and provide convenience for both businesses and consumers.

The bill did not advance after the hearing and ultimately failed in June. Its defeat preserves the ability for fitness clubs to continue using card-on-file practices that support reliable billing systems and member convenience.

Advertising and Transparency

In June, Governor Ned Lamont (D) signed **SB 3** into law, establishing new all-in pricing requirements for goods and services sold in Connecticut. The law prohibits businesses from advertising, displaying, or offering a price that does not include all fees, charges, and costs the consumer will be required to

pay. Fitness industry advocates played a key role in shaping the final measure, securing amendments that allow an exemption in situations where a facility cannot feasibly calculate the cost of an item or fee at the time of purchase. SB 3 takes effect on July 1, 2026.

2026 Outlook

At the time of writing, no prefiled legislation has been identified that would directly impact the health and fitness industry.

Delaware



Fitness Facility Members
230,000

Legislature Overview

- The 2025 session began January 14 and adjourned June 30.
- Bills left pending at the end of a session in an odd-numbered year may be carried over to the following session.

Governor: Democratic | **House Control:** Democratic Supermajority | **Senate Control:** Democratic Supermajority

2025 Policy Review

Personnel & Accessibility Requirements

Introduced in April, **HB 115** would prohibit employment and public accommodation discrimination based on weight, height, or body size. The proposal would bar employers from limiting, segregating, or classifying employees on these grounds and would prevent businesses from denying services, classes, or membership benefits for the same reasons.

HB 115 failed at the end of the 2025 session but is eligible for consideration in 2026. If enacted, such legislation could require operators to review employment practices, staff training, and member policies to ensure compliance with new standards.

2026 Outlook

In addition to active bills that are eligible for carryover from the 2025 session, no prefiled legislation has been identified at the time of writing that would further impact the health and fitness industry.

District of Columbia



Fitness Facility Members
200,000

Legislature Overview

- The Council meets for a two-year session.
- Both the Mayor and independent agencies introduce measures through the Chairman of the Council.
- Committees are not required to hear every bill referred to them.

Mayor: Democratic | **Council Control:** Democratic

2025 Policy Review

No bills or policy proposals introduced during 2025 directly targeted health and fitness clubs or related facility operations.

2026 Outlook

In addition to active bills that are eligible for carryover from the 2025 session, no prefiled legislation has been identified at the time of writing that would further impact the health and fitness industry.

Florida



Fitness Facility Members
3.5 Million

Legislature Overview

- The 2025 session began March 4 and adjourned June 16.
- Florida has an active interim: Prefiled bills may be heard and passed out of committees before being formally introduced.
- Many bills in Florida have companions in the opposite chamber with identical text. Once the legislature formally convenes, a bill may be "substituted" for its companion in the opposite chamber if that bill has already undergone the committee process and passed its chamber of origin.
- Legislation does not carry over.

Governor: Republican | **House Control:** Republican Supermajority | **Senate Control:** Republican Supermajority

2025 Policy Review

Treatment of Independent Contractors

In 2025, lawmakers considered **HB 1067** and **SB 1130**, companion bills that would have allowed businesses to voluntarily contribute to portable benefits accounts for independent contractors. These accounts could be used to fund health insurance, life insurance, retirement benefits, and other portable protections for qualifying workers.

Although neither bill advanced this session, industry advocates supported the proposals and plan to continue pursuing their reintroduction and passage in 2026.

2026 Outlook

In addition to active bills that are eligible for carryover from the 2025 session, no prefiled legislation has been identified at the time of writing that would further impact the health and fitness industry.

Georgia



Fitness Facility Members
2.6 Million

Legislature Overview

- The legislature convenes on the second Monday in January, with the session lasting a total of just 40 days.
- The 2025 session began January 13 and adjourned April 4.
- Georgia allows shell bills that have little or no substantive language and serve as a placeholder for legislative proposals to be amended into the measure at a later date.
- Bills left pending at the end of session during an odd-numbered year may be carried over to the following session in the subsequent even-numbered year.

Governor: Republican | **House Control:** Republican | **Senate Control:** Republican

2025 Policy Review

Click-to-Cancel and Auto-Renewal Restrictions

Georgia lawmakers considered multiple proposals in 2025 related to automatic renewal practices and membership cancellation requirements.

Introduced in February, **HB 529** would revise the definition of "automatic renewal" to apply to contracts longer than one month and establish new disclosure and termination standards for businesses entering into such agreements. The bill requires clear explanation of renewal terms, including how to terminate a contract, and mandates that customers be given an opportunity to end the agreement after a specified period rather than remaining subject to continual automatic renewals.

Fitness industry advocates testified on the bill and worked closely with the sponsor to secure significant amendments. The original version would have required contracts to automatically expire, a provision that threatened membership continuity.

The amended version maintains consumer protections while preserving workable membership models for health and fitness clubs. HB 529 passed the House in March and awaits a hearing in the Senate Committee on Agriculture and Consumer Affairs, where it remains eligible for consideration in 2026.

A related measure, **SB 127**, also introduced in February, would require businesses with fewer than 200 employees to disclose all aspects of automatic renewal contracts, notify customers 30–60 days before renewal deadlines, provide contact information for staff who can assist with cancellations, and obtain written or electronic consent for renewals lasting more than 24 months. The bill failed to advance by the end of the 2025 session but remains eligible for consideration when lawmakers reconvene in 2026.

Treatment of Independent Contractors

Introduced in February, **SB 227** would establish new legal protections for freelance workers. The bill defines a freelance worker as someone who is hired to provide services for 120 days and paid at least \$800. Fitness facilities engaging trainers or instructors under these conditions would be required to execute written contracts and comply with strict payment timelines, either by the date stated in the contract or within 30 days of completing the work if no date is specified. The proposal also gives freelance workers the right to file legal complaints against businesses that fail to meet these requirements.

For fitness facilities, the measure could increase administrative obligations, introduce new legal risks, and limit flexibility in structuring independent contractor arrangements. The bill failed to advance during the 2025 session. It currently sits in the Senate Committee on Insurance and Labor and is eligible for consideration when the legislature reconvenes in 2026.

2026 Outlook

In addition to active bills that are eligible for carryover from the 2025 session, no prefiled legislation has been identified at the time of writing that would further impact the health and fitness industry.

Hawaii



Fitness Facility Members
230,000

Legislature Overview

- Hawaii has a two-year session that convenes annually on the third Wednesday in January and remains in session for 60 legislative days.
- The 2025 session began on January 15 and adjourned on May 2.
- Bills left pending at the end of a session in an odd-numbered year may be carried over to the following session in the subsequent even-numbered year.

Governor: Democratic | **House Control:** Democratic Supermajority | **Senate Control:** Democratic Supermajority

2025 Policy Review

Treatment of Independent Contractors

In 2025, Hawaii lawmakers considered proposals that would expand the Hawaii Employment Relations Act to cover independent contractors, extending to them the same organizing and collective bargaining protections currently afforded to employees. The House version of the proposal, **HB 931**, did not

receive consideration from the committee it was assigned to prior to the legislature adjourning in May. The Senate version of the bill, **SB 1523**, received a hearing and passed its initial committee but did not advance further before the 2025 session ended. It is eligible for consideration when the legislature reconvenes in 2026.

2026 Outlook

In addition to active bills that are eligible for carryover from the 2025 session, no prefiled legislation has been identified at the time of writing that would further impact the health and fitness industry.